KAPASA MAKASA UNIVERSITY

Department of Agriculture and Aquatic Sciences

Agribusiness Management (SA 500)

Lecture 2: Agribusiness System

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ACTIVITY 1: Bag of Mealie Meal Example

Can you divide yourselves into 6 groups as:

(i) Input Suppliers

(ii) Farmers

(iii) Processors

(iv) Marketers

(v) Government

(vi) Research & Extension

You have 10 min to answer the following questions:

- What is our role?
- Who do we depend on?
- Who depends on us?
- What happens if we fail?

ACTIVITY 1: Bag of Mealie Meal Example

Each group to present for 3 minutes.

The Agribusiness System: Introduction

Having looked at the concept of agribusiness, its scope, its importance and challenges.

We can now look at various industries and institutions (components) comprising the agribusiness system and how they interact with one another.

By the end of this lecture, students should be able to:

- Identify and describe the major agribusiness sectors
- Identify and discuss the components of the agribusiness
- Explain the interrelationships within the agribusiness value chain

Agribusiness as a System

- Agribusiness is best understood as system comprising different components, each tied to the next in the task of developing, producing, and delivering food and other agro products to the consumer.
- The agribusiness sector includes a wide range of firms, including **processors**, **manufacturers**, **wholesalers,** and **retailers.**
- Agribusiness Management is not only concerned about the production side of agriculture **(i.e. farming of crops, livestock and fish**), but also;
- Proper application of inputs (**i.e. seed, fertilizers, pesticides, machinery etc.)**,
- Processing of output (i**.e. crop grain, milk, meat etc.),**
- Food products manufacturing (**i.e. bread, cereals, breakfast etc**.), and **transporting, promoting and selling the food products** to the **customers** and intermediate customers (**i.e. whole seller, retailer etc**.).

Main Sectors of Agribusiness

There are basically three main agribusiness sectors that form the agribusiness system. These include:

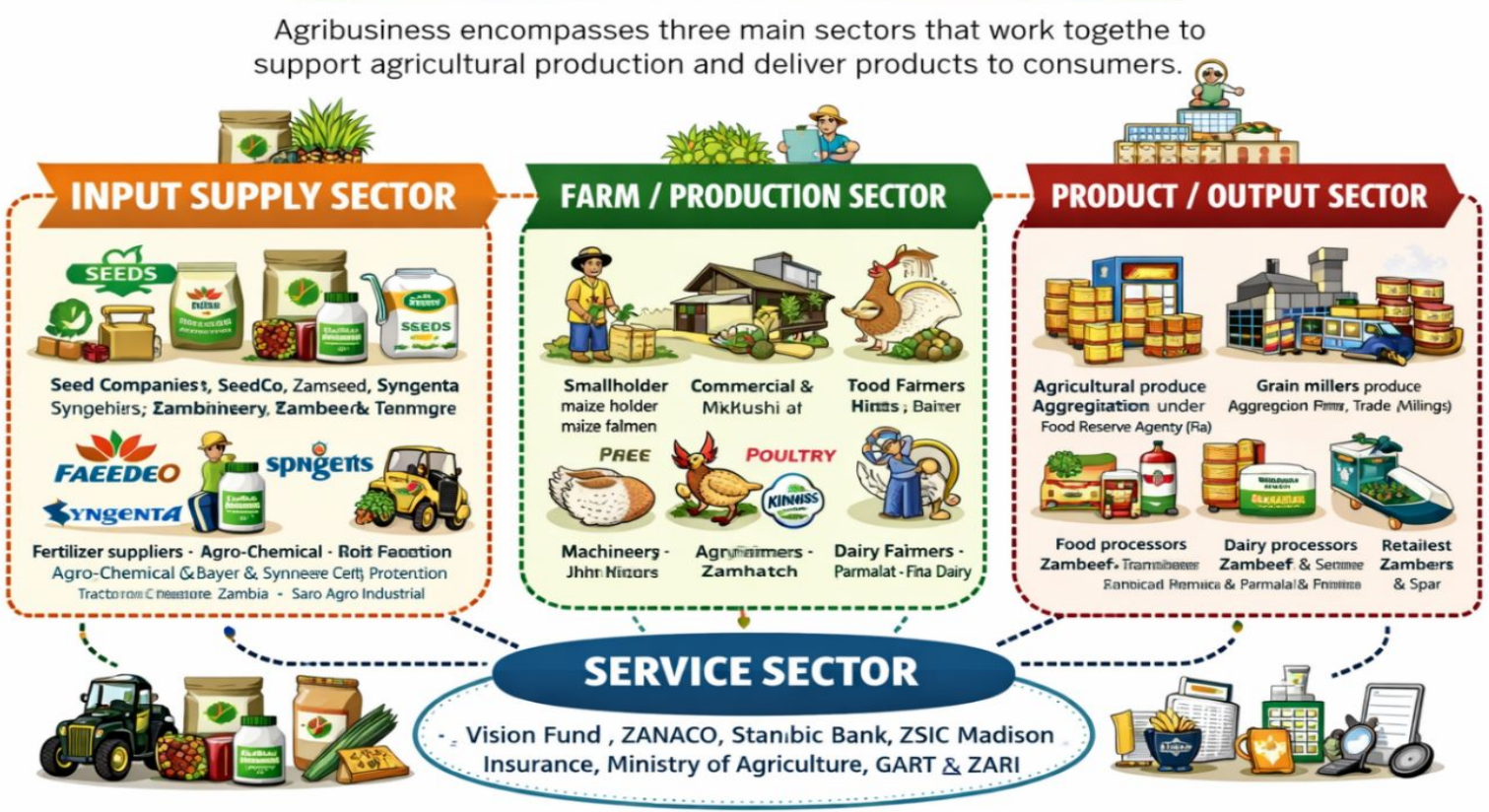
1. **Input supply sector**
2. **Farm/production sector (also known as Agriculture Sector)**
3. **Product/output sector**

There is also the fourth sector which is attributed to agribusiness

4. The service sector.

Each of these sectors comprises several industries (sub-sectors).

Main Sectors of Agribusiness



Input Supply Sector

- The agribusiness system usually begins with the **input supply sector**
- It is responsible for providing the thousands of different inputs (**seed, fertilizers, pesticides, machinery etc**) to the production agriculture sector for raising crops, livestock and other allied enterprises.





Farm / Production Sector

- Purchased inputs, natural resources, and managerial talent are combined to produce crop and livestock.
- Production decisions here are heavily influenced by climate, technology, availability and price of inputs, and management efficiency.







Product / Output Sector

- Once the farm sector produces various agricultural commodities, this sector is responsible for adding value to such commodities through processing and marketing.
- This sector is the most diverse sector as it deals with various aspects such as; **storage, processing, manufacturing, distribution and marketing the finished products so as to meet the dynamic needs of consumers.**
- It is under this sector where value addition mainly takes place leading to increased employment and income generation.

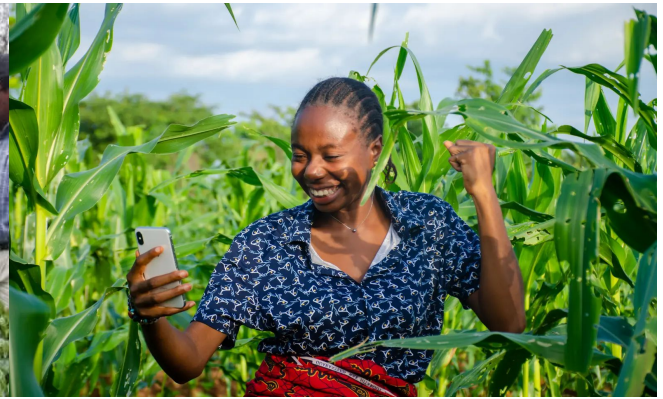





Service Sector

- Although the service/support sector is one of the agribusiness sectors, it not one of the main agribusiness sectors.
- This is because, the service sector only provides various services and support such as **financial, insurance, extension, standard & quality certifications, etc. to the other three sectors .**
- The service sector is important because it improves efficiency, reduces risk, and promotes sustainability of Agribusinesses.





Components of the Agribusiness System

The agribusiness system consists of six components:

(i) Input supply sector

(ii) Agricultural production (farm) sector

(iii) Agro-processing and manufacturing sector

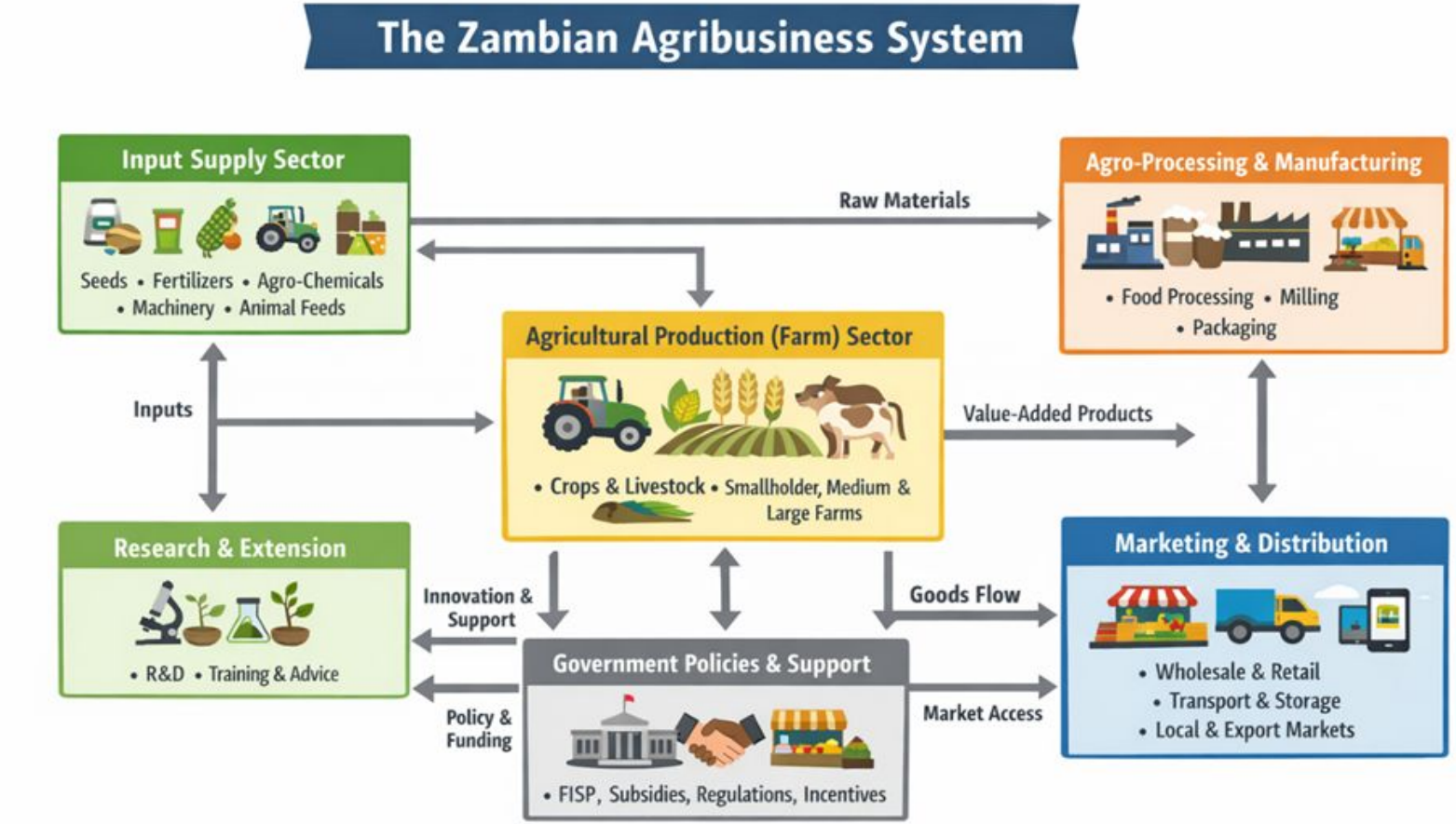
(iv) Marketing and distribution sector

(v) Government policies and programmes

(vi) Agricultural research and extension services

Effective coordination among these components determines the success or failure of the agribusiness sector.

Components of the Agribusiness System



Components of Agribusiness System



(i) Agricultural Production (Farm) Sector

- The agricultural production sector lies at the centre of Zambia's agribusiness system.
- It comprises farms and ranches that produce crop and livestock outputs, which serve as inputs into agro-processing, manufacturing, and marketing sectors.
- This sector is also the primary customer of the input supply sector.





(i) Agricultural Production (Farm) Sector

Types of Farms in Zambia and Demographics

(i) Smallholder Farms (ii) Medium-Scale Farms and (iii) Large-Scale Commercial Farms

(i) Smallholder Farms

- Cultivate less than 5 hectares
- Represent over 80% of farming households
- Produce the majority of staple crops, especially maize
- Highly dependent on rainfall and subsidised inputs

(i) Agricultural Production (Farm) Sector

Types of Farms in Zambia and Demographics

(ii) Medium-Scale Farms

- Operate between 5 and 20 hectares
- Increasing rapidly due to land acquisition by urban-based investors
- More commercially oriented and mechanised
- Greater access to finance and markets

(iii) Large-Scale Commercial Farms

- Cultivate over 20 hectares
- Capital-intensive and highly mechanised
- Produce for domestic agro-processing firms and export markets

(i) Agricultural Production (Farm) Sector

Research and Extension Services

- Agricultural research and extension services are needful for improving productivity, technology adoption, and farm management.

Zambian Institutions providing research & extension services:

- Zambia Agricultural Research Institute (ZARI)
- Seed Control and Certification Institute (SCCI)
- Ministry of Agriculture under Extension Services

Despite these institutions, the extension officer to farmer ratio remains low, estimated at 1:1,000 or worse in many districts, limiting technology diffusion.

(i) Agricultural Production (Farm) Sector

Government Policies, Programmes, and Incentives

The major government interventions affecting agriculture production sector include:

- Farmer Input Support Programme (FISP)
- Food Reserve Agency (FRA)
- National Agricultural Policy (2016–2030)
- Comprehensive Agriculture Transformation Support Programme (CATSP)
- Sustainable Agriculture Financing Facility (SAFF)

These programmes improve input access, but have also contribute to maize dominance and fiscal pressure.

Input Supply Sector in Zambia

The input supply sector forms the foundation of the agribusiness system by providing the farm inputs and services required for agricultural production (farm) sector.

The sector includes suppliers of:

- Seed and planting materials
- Fertiliser
- Agro-chemicals
- Animal feed and veterinary products
- Farm machinery and equipment



Input Distribution in Zambia

Input distribution connects manufacturers and importers to farmers through a multi-channel delivery system including:

- Private agro-dealers
- Farmer cooperatives
- Government programmes (FISP)
- Large commercial suppliers
- Registered agro-dealers are the main channel of Zambia's input distribution system, particularly under the e-voucher model.
- The Zambia Agro-Dealers Association (ZADA) supports dealer training and compliance.

Input Supply Sector in Zambia

Government Policies and Programmes Affecting Input Supply

- Farmer Input Support Programme (FISP)
- FISP is the most influential policy affecting the input supply sector.

Regulatory Framework (Input Supply Sector)

The input supply sector is governed by several laws and institutions:

- Plant Variety and Seeds Act
- Agriculture (Fertilizers and Feeds) Act
- Environmental Management Act
- Pesticides and Toxic Substances Regulations

Input Supply Sector in Zambia

1. Plant Variety and Seeds Act

- **Provides for:** Regulation of seed production, certification, variety testing, and registration of seed producers and dealers.
- **Responsible Body:** Seed Control and Certification Institute (SCCI) under the Ministry of Agriculture

2. Agriculture (Fertilizers and Feeds) Act

- **Provides for:** Regulation of the manufacture, importation, distribution, and sale of fertilizers and animal feeds, including quality control and labeling standards.
- **Responsible Body:** Zambia Agriculture Research Institute (ZARI) (Fertilizer and Feeds Inspection Services) under the Ministry of Agriculture

Input Supply Sector in Zambia

3. Environmental Management Act

- **Provides for:** Regulation of pollution control, waste management, environmental protection, and Environmental Impact Assessments (EIAs).
- **Responsible Body:** Zambia Environmental Management Agency (ZEMA)

4. Pesticides and Toxic Substances Regulations

- **Provides for:** Registration, approval, licensing, and control of pesticides before manufacture, importation, distribution, and sale.
- **Responsible Body:** ZEMA in collaboration with the Pesticides and Toxic Substances Board

Agro-Processing and Manufacturing Sector in Zambia

- The agro-processing and manufacturing sector consists of firms that transform primary agricultural products into semi-processed or finished goods for domestic consumption and export.
- This sector links agriculture (farm) sector to industry and is central to value addition, employment creation, income diversification, and industrialisation.



Agro-Processing and Manufacturing Sector in Zambia

Sub-sectors include:

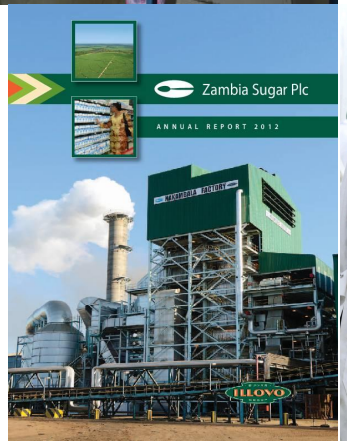
- Grain milling
- Oilseed processing
- Sugar processing
- Livestock and meat processing
- Dairy processing
- Beverage and food manufacturing













Agro-Processing and Manufacturing Sector in Zambia

Government Policies and Programmes Affecting Agro-Processing

1. National Industrial Policy

Objective: Promotes agro-based manufacturing, value addition, industrial diversification, and competitiveness.

Responsible Body: Ministry of Commerce, Trade and Industry (MCTI)

2. National Agricultural Policy (2016–2030)

Objective: Emphasises value addition, agro-processing development, market linkages, and private sector participation in agriculture.

Responsible Body: Ministry of Agriculture (MoA)

Agro-Processing and Manufacturing Sector in Zambia

Regulatory Framework Affecting Agro-Processing

1. Food Safety Act

- **Purpose:** Regulates food safety standards in production, processing, packaging, storage, and distribution.

  Responsible Body: Ministry of Health (Public Health Department)

2. Public Health Act

- **Purpose:** Ensures sanitary standards, hygiene compliance, and safe handling of food products.

  Responsible Body: Ministry of Health (Local Authorities / Public Health Inspectors)

Agro-Processing and Manufacturing Sector in Zambia

Regulatory Framework Affecting Agro-Processing

3. Zambia Bureau of Standards (ZABS) Act

- **Purpose:** Sets and enforces product quality standards and certification for processed goods (mandatory for export in many cases).

  Responsible Body: Zambia Bureau of Standards (ZABS)

4. Environmental Management Act

- **Purpose:** Regulates pollution control, waste disposal, environmental impact assessments (EIAs), and sustainable industrial practices.

  Responsible Body: Zambia Environmental Management Agency (ZEMA)

Marketing and Distribution Sector in Zambia

The marketing and distribution sector comprises all activities involved in moving agricultural and agro-processed products from farms and factories to final consumers. Activities include:

- Aggregation
- Storage
- Transportation
- Pricing
- Promotion
- Wholesaling
- Retailing
- Export marketing



Marketing and Distribution Sector in Zambia

Challenges in Agricultural Marketing and Distribution, include:

- High transport and fuel costs
- Poor rural road infrastructure
- Price volatility and market uncertainty
- Limited access to reliable market information
- Inconsistent policy implementation

Marketing and Distribution Sector in Zambia

Government Policies and Programmes Affecting Marketing & Distribution

1. Food Reserve Agency (FRA)

Mandate:

- Purchases maize and other designated crops from farmers
- Maintains strategic grain reserves
- Stabilises national food supply
- Influences maize pricing and market participation
- **Responsible Body: Food Reserve Agency (FRA)**

Marketing and Distribution Sector in Zambia

Government Policies and Programmes Affecting Marketing & Distribution

2. Trade and Export Facilitation

Functions:

- Export licensing
- Sanitary and phytosanitary (SPS) certification
- Customs clearance and trade regulation
- Border infrastructure management

Responsible Bodies:

- **Ministry of Agriculture** (SPS certification, agricultural export permits)
- **Zambia Revenue Authority (ZRA)** (Customs and border control)
- **Zambia Bureau of Standards (ZABS)** (Quality certification for exports)
- **Zambia Development Agency (ZDA)** (Export promotion and trade facilitation)

Marketing and Distribution Sector in Zambia

Government Policies and Programmes Affecting Marketing & Distribution

3. Market Information and Price Stabilisation

Functions:

- Price monitoring and announcements (e.g., FRA floor prices)
- Dissemination of agricultural market information

Responsible Bodies:

- **Ministry of Agriculture**
- **Food Reserve Agency (FRA)**
- Agricultural Market Information Systems (under Ministry of Agriculture)

Marketing and Distribution Sector in Zambia

Regulatory Framework Affecting Marketing & Distribution

1. **Agricultural Marketing Act**

Purpose:

- Regulates agricultural marketing activities
- Provides framework for orderly marketing of agricultural products

Responsible Body:

- **Ministry of Agriculture**
- **Zambia Bureau of Standards (ZABS)**

Marketing and Distribution Sector in Zambia

Regulatory Framework Affecting Marketing & Distribution

2. Competition and Consumer Protection Act

Purpose:

- Prevents anti-competitive practices
- Protects consumers from unfair pricing and market abuse

Responsible Body:

- Competition and Consumer Protection Commission (CCPC)

3. Food Safety Act

Purpose:

- Ensures food safety in storage, distribution, and retail

Responsible Body:

- Ministry of Health

Conclusion

- Agribusiness is best understood as a system of interlinked sub-sectors and institutions working together from production to final consumption.
- Effective coordination among input supply, production, processing, marketing, research, and policy determines the success or failure of the agribusiness system.

Multiple Choice Questions For Recap

1. Agribusiness is best understood as:

A. Farming only

B. A system of interlinked components

C. Agro-processing only

D. Government policy only

Correct Answer: **B**

Multiple Choice Questions For Recap

2. Agribusiness management includes:

A. Only crop production

B. Only livestock production

C. Input application, processing, and marketing

D. Only food manufacturing

Correct Answer: **C**

Multiple Choice Questions For Recap

3. Which of the following is NOT one of the three main agribusiness sectors?

A. Input supply

B. Farm/production

C. Service/support

D. Product/output

Correct Answer: **C**

Multiple Choice Questions For Recap

4. The service sector is different because it:

A. Produces crops

B. Only supports other sectors

C. Processes food

D. Sets prices

Correct Answer: **B**

Multiple Choice Questions For Recap

5. The input supply sector provides:

A. Retail services

B. Seed, fertilizer, machinery

C. Food exports

D. Market pricing

Correct Answer: **B**

Multiple Choice Questions For Recap

6. Production decisions are heavily influenced by:

A. Climate and technology

B. Retail prices only

C. Export taxes only

D. Urban demand only

Correct Answer: **A**

Multiple Choice Questions For Recap

7. The Environmental Management Act is enforced by:

A. ZABS

B. CCPC

C. ZEMA

D. FRA

Correct Answer: **C**

Multiple Choice Questions For Recap

8. Aggregation refers to:

A. Processing maize

B. Collecting produce from multiple farmers

C. Export documentation

D. Pricing policy

Correct Answer: **B**

Multiple Choice Questions For Recap

9. The FRA mainly influences:

A. Fertilizer imports

B. Maize pricing and reserves

C. Export certification

D. Seed breeding

Correct Answer: **B**

Multiple Choice Questions For Recap

10. The Competition and Consumer Protection Act ensures:

A. Input subsidies

B. Fair competition

C. Irrigation development

D. Export promotion

Correct Answer: **B**

The End